Before the
New York State Public Service Commission

In the Matter of

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
Cases 23-G-0225 AND 23-G-0226

September 1, 2023

Prepared Direct Testimony of

Michele Chait

On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A. My name is Michele Chait. I am an independent economic and regulatory consultant in the energy sector. My business, Michele Chait LLC, is located at 455 Pinewood Drive, San Rafael, California 94903.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. I hold an undergraduate degree in mathematics and Middle Eastern studies from University of California, Berkeley and a master's degree in Business Administration from the University of Chicago.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE AND CURRENT RESPONSIBILITIES.

A. A summary of my experience is attached in Exhibit__(Chait-1).

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Yes. I have previously testified before the California Public Utilities Commission on rate design matters. I also recently submitted testimony in the Consolidated Edison Company of New York, Inc. electric and gas rate cases (Case 22-E-0064 and Case 22-G-0065) and the Consolidated Edison Company of New York, Inc. steam rate case (Case 22-S-0659).

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. I reviewed each Company's Rate Design Panel Direct Testimony and Exhibits and Load Forecasting Panel Direct Testimony and exhibits, including Corrections and Updates. I also reviewed discrete aspects of the Brooklyn Union Gas Company d/b/a National Grid NY and Keyspan Gas East Corporation d/b/a National Grid ("KEDLI") (together "Companies") Climate Leadership and Community Protection Act Panel Direct Testimony and Exhibits, Customer Panel Direct Testimony and Exhibits, Direct Testimony of The Policy Panel, and the Brooklyn Union Gas Company D/B/A National Grid NY ("KEDNY") Capital Structure Panel Direct Testimony. My testimony addresses the following:

- Use of a minimum-system study in an embedded cost of service study ("ECOSS") to classify distribution mains costs into customer and demand-related components;
- Calculation of the customer-related share of distribution mains costs;
- The Companies' ECOSS cost allocation methodology;
- The Companies' load forecast and allocation of usage to blocks used in rate design;
- Rate design and bill impacts for the Companies' non-firm demand response ("NFDR") customers;
- The Companies' proposal to share the net dollar impact of the annual Gas Adjustment Clause ("GAC") imbalance plus the System Performance Adjustment ("SPA") mechanism among NFDR and firm customers through a volumetric rate;
- The Companies' proposal to eliminate the demand capacity surcharge mechanism ("DCSM");
- The Companies' proposal to create a rate adjustment mechanism ("RAM");

- The Companies' proposed uncollectible rate;
- The Companies' proposals to create new reconciliation mechanisms for uncollectible expenses, late payment charges, residential credit card and debit card fees, and to true-up long-term debt;
- The Companies' proposal to implement two new Energy Adjustment Mechanisms ("EAMs"); and
- The Companies' proposal to resume the uncollectibles incentive in Rate Year 2.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. Exhibit__(Chait-1) is a summary of my experience and qualifications. Exhibit__(Chait-2) is a compilation of interrogatory responses I reviewed in preparing my testimony.

Q. PLEASE SUMMARIZE YOUR CONCLUSIONS AND RECOMMENDATIONS.

A. My conclusions and recommendations are summarized as follows:

- I support use of a minimum-system study to determine the customer-related share of gas distribution mains costs.
- I do not support the Companies' proposal to average the three most recent minimum-system study results to determine the customer-related share of distribution mains costs. I support using the results of only the most recent minimum-system study to determine the customer-related share of distribution mains costs, with mitigation of adverse delivery cost increase allocations to service classifications addressed through the established tolerance band and manual adjustment mechanisms.

- The ECOSS filed by each Company is reasonable and should be accepted by the Commission. However, if a lower delivery revenue requirement is approved, I would support allocating a material share of the reduction to the classes that are overcontributing in order to reduce existing subsidies more quickly.
- I strongly support the Companies' proposed phase-in of rate increases if a multi-year rate plan is implemented.
- Regarding the Companies' proposal to use the FY19-FY22 historical block usage percentages to allocate the Rate Year load forecast to blocks, I recommend that for service classifications where the historical average differs from the Rate Year ("FY 2025") forecast by more than a reasonable value, such as 10%, the block allocation for each class instead should be based on the historical year with average usage per customer most similar to the Rate Year forecast average.
- I support the Companies' proposal to increase its target discounts for NFDR Tiers 1 and 2 to 55% and 65%, respectively.
- I recommend that in designing rates for KEDNY's and KEDLI's NFDR customers, the Companies should evaluate increasing the customer charge and decreasing the tail block rates (or Tier-1 energy charges, if necessary to maintain target discounts).
- I oppose the Companies' NFDR gas cost reconciliation mechanism proposal to share the net dollar impact of the annual GAC imbalance plus the SPA mechanism among NFDR and firm customers via a volumetric rate. To minimize cost shifts, I recommend that a separate reconciliation mechanism is developed for NFDR customers that differs from that for firm customers.

- I support the Companies' proposal to eliminate the DCSM;
- I support the Companies' proposal to recover non-labor demand response program capacity and performance payment costs in the demand response O&M ("DROM") component of the delivery rate adjustment.
- I oppose the Companies' proposal to recover marketing and administrative costs for the load shedding and Bring Your Own Thermostat ("BYOT") program via the DROM. I support recovery of these costs via base delivery rates.
- I support the Companies' proposal to collect the long-term capital capacity projects revenue requirement via base delivery rates, with certain caveats.
- I oppose the Companies' proposal to establish the uncollectible rate using historical data for the three calendar years 2017-2019. I support establishing the uncollectible rate using data for calendar year 2019 only.
- I oppose the Companies' proposal to implement new reconciliation mechanisms for uncollectible expenses, late payment charges, residential credit card/debit card (CC/DC) fees, and long-term debt. If any of these reconciliation mechanisms are approved, I recommend that each Company's return on equity and equity share of capital structure be adjusted to reflect the resulting reduction in risk borne by shareholders.
- I oppose creation of the Companies' proposed RAM surcharge. If the RAM is implemented, I support the use of a cap but not the Companies' proposal to limit RAM balances to a cap of 2.5% of prior year aggregate revenues.

- I oppose the Companies' proposal to alter the existing property tax reconciliation mechanism.
- I oppose the Companies' proposed Low-and-Moderate Income ("LMI") Energy Assistance Program and Gas Demand Response EAMs.
- Lastly, I oppose re-instating the uncollectibles Incentive in Rate Year 2. Instead, I recommend that the proposal to re-instate the uncollectibles Incentive is examined in the next rate case.

MINIMUM-SYSTEM STUDY

Q. DID YOU REVIEW THE COMPANIES' EMBEDDED COST OF SERVICE STUDIES (ECOSS)?

A. Yes.

Q. HOW ARE ECOSS COSTS CLASSIFIED?

A. KEDNY Rate Design Panel Direct Testimony, lines 9-18 on page 23 of 75, explains that the Company's gas distribution system is designed to meet three primary objectives: (a) connect customers to the Company's distribution system; (b) meet the aggregate peak design day capacity requirements of all customers entitled to service on the peak day; and (c) deliver natural gas commodity to customers. Corresponding to these objectives, each functionalized cost element is classified as being customer-related, demand-related, or commodity-related. Customer-related costs include metering, billing, and the costs of connecting customer premises to the distribution system.

Q. HOW DOES THE ECOSS CLASSIFY DISTRIBUTION MAINS COSTS?

A. KEDNY Rate Design Panel Direct Testimony, page 25 lines 10-16, explains that because distribution mains both connect customers to the distribution system and provide capacity to meet customer demand, distribution mains costs are classified into customer-and demand-related components.

Q. IS CLASSIFYING A SHARE OF DISTRIBUTION MAINS COSTS AS CUSTOMER-RELATED A GENERALLY ACCEPTABLE APPROACH?

A. Yes. The National Association of Regulatory Utility Commissioners (NARUC) discuss this approach in their June 1989 Gas Distribution Rate Design Manual ("NARUC Manual"). Regarding cost classification, the NARUC Manual states "[a] portion of the costs associated with the distribution system may be included as customer cost."

Q. IS A MINIMUM-SYSTEM STUDY A GENERALLY ACCEPTED METHOD OF DETERMINING THE CUSTOMER-RELATED SHARE OF DISTRIBUTION MAINS COSTS?

A. Yes. The NARUC Manual states "[o]ne argument for inclusion of distribution related items in the customer cost classification is the 'zero or minimum size main theory.' This theory assumes that there is a zero or minimum size main necessary to connect the customer to the system and thus affords the customer an opportunity to take service if [they] so desire."

Q. HAS THE COMMISSION ACCEPTED A MINIMUM SYSTEM APPROACH TO CLASSIFY THE COST OF GAS DISTRIBUTION MAINS IN PRIOR RATE CASES?

A. Yes. The Commission accepted the use of a minimum-system methodology to classify distribution costs for National Grid Cases 19-G-0309 and 16-G-0059. Most recently, in Case 22-G-0065, the approved Joint Proposal integrated the minimum-system methodology described in Consolidated Edison Company of New York, Inc. Gas Rate Panel Direct Testimony. There, Exhibit___(GRP-1) Page 19 of 59 stated that PSC Account 376 (Mains) was functionalized to the Distribution-Demand ("Demand Component") and Distribution-Customer ("Customer Component") functions based on the development of the Minimum System for Gas Mains. Page 8 of 59 of that same testimony states the Customer Component consists of the distribution mains system that would be required to connect gas customers with a minimum predominant size pipe, regardless of their demand for gas.

Q. WHAT ANALYSIS DO THE COMPANIES PROPOSE TO DETERMINE THE SHARE OF DISTRIBUTION MAINS THAT IS CUSTOMER RELATED?

A. The analysis is carried out in two steps. First, the Companies perform a minimum-system study to determine the minimum-system ratio. The Companies define the minimum-system ratio as the ratio of (X), the cost of replacing the entire mains distribution system with the minimum component which is two-inch plastic, to (Y), the cost of replacing the entire mains distribution system with plastic of the same diameters as the installed system.

Q. WHAT IS THE SECOND STEP?

A. In the second step, the Companies average the minimum-system ratios from the three most recent minimum-system studies to arrive at the customer-related share of distribution mains costs for the ECOSS.

Q. WHAT IS THE PROPOSED CUSTOMER-RELATED SHARE OF DISTRIBUTION MAINS COSTS?

A. KEDNY proposes a customer share 44.29%. For KEDLI, the customer share is reported as 47.44%. Table 1 below displays the minimum-system ratios calculated in the last three KEDNY and KEDLI rate cases and the customer-related share proposed for KEDNY and KEDLI in the instant case. For KEDNY, the minimum-system ratio has increased by 26% (= 0. 4788 ÷ 0.3791 -1) since the study performed in Case 16-G-0059, and for KEDLI the increase is 30.8% since the study performed in Case 16-G-0058 (= 0. 5451 ÷ 0.4165 - 1).

Table 1: Minimum-system Ratios from Prior Rate Cases and Proposed Customer-related Share

Rate Cases	**KEDNY Minimum-system Ratio**	**KEDLI Minimum-system Ratio**
23-G-0225, 23-G-0026	47.88%	54.51%
19-G-0309, 19-G-0310	47.08%	46.17%
16-G-0059, 16-G-0058	37.91%	41.65%
Average (Proposed Customer-related Share)	**44.29%**	**47.44%**

Q. HAVE THE COMPANIES PREVIOUSLY AVERAGED MINIMUM-SYSTEM RATIOS FROM PRIOR MINIMUM-SYSTEM STUDIES TO DETERMINE THE CUSTOMER-RELATED SHARE OF DISTRIBUTION MAINS COSTS?

A. Based on minimum system study information from the prior rate cases listed in Table 1, it does not appear that the Companies have previously proposed to average minimum-system ratio results from prior studies.

Q. WHAT RATIONALE DID THE COMPANIES GIVE WHEN PROPOSING TO AVERAGE THE PRIOR MINIMUM-SYSTEM RATIO RESULTS?

A. The Companies state they averaged the results of the current study and the two prior studies to promote stability and to broaden the period of data used in the study.

Q. DO YOU SUPPORT THIS METHODOLOGY?

A. I support classifying distribution mains into customer- and demand-related components. I also support the use of a minimum-system study to estimate the minimum-system ratio. However, I do not support the Companies' proposed minimum-system ratio here.

Q. WHAT METHODOLOGIES HAVE THE COMPANIES USED IN PRIOR RATE CASES?

A. In Case 16-G-0059, decades of historical cost data were escalated to 2014 dollars per Handy-Whitman factors. Cost data from all historical years were used. In Case 19-G-0309, un-escalated cost data from 2016 and 2017 were used to calculate the minimum-system ratio. In each of these proceedings, the minimum-system ratio was the customer-related share of distribution mains costs. In the instant case, un-escalated cost data from 2018-2021 is utilized to calculate the minimum-system ratio. However, unlike the prior

two Cases, here the Companies propose that the customer-related share be the average of the minimum-system ratios from these last three studies.

Q. WHAT DO YOU RECOMMEND?

A. I recommend the Commission approve the minimum-system methodology for classifying and allocating the cost of distribution mains. However, the proposal to calculate the customer-related share by averaging the three most recent minimum-system study results is sub-optimal. Instead, I support utilizing the results of only the most recent minimum-system study (Cases 23-G-0225, 23-G-0226), which utilizes the most current data to determine the customer-related share of distribution mains costs. To the extent mitigation of adverse delivery cost increases is necessary, this should be addressed through the established tolerance band and manual adjustment mechanisms per Rate Design Panel Exhibit ___ (RDP-4) Schedule 1.

COST ALLOCATION

Q. HOW DO THE COMPANIES ALLOCATE THE REVENUE REQUIREMENT TO CUSTOMER CLASSES?

A. Generally, the Companies rely on a combination of revenue based on current rates and Test Year sales, the minimum system study, and the 2022 calendar year ECOSS to allocate revenue increases to customer classes. The Companies also employ tolerance bands and manual adjustments to adjust the revenue allocation for certain customer classes.

Q. DO YOU SUPPORT THE ECOSS?

A. Generally, yes. The goal of the ECOSS is to functionalize, classify and allocate the Rate Year cost of service to customer classes. I believe that the allocation factors utilized in the ECOSS reasonably approximate the underlying cost drivers.

Q. HOW ARE THE CUSTOMER- AND DEMAND-RELATED DISTRIBUTION MAINS COSTS ALLOCATED TO CUSTOMER CLASSES?

A. The customer portion is allocated based on the number of customers. The demand portion is allocated based on the contribution to design-day demand. I support this approach.

Q. WHAT IS A TOLERANCE BAND?

A. The tolerance band is a mechanism employed to support grouping service classifications into categories based on the degree to which each class over- or under-contributes revenues relative to the costs that are allocated to them. The tolerance band therefore informs to what degree the pure cost-based allocation of the distribution revenue change to individual service classifications should be adjusted. KEDNY Rate Design Panel Direct Testimony, page 35 of 75 lines 10 – 11, states that using a tolerance band is intended to avoid disputes about minor issues in the ECOSS.

Q. PLEASE DESCRIBE THE PROCESS THE COMPANIES UTILIZE TO DETERMINE WHETHER MODIFICATIONS TO THE PURE COST ALLOCATION ARE NECESSARY.

A. The process consists of five steps. First, delivery revenue at present rates is calculated per the product of ECOSS billing determinants and current rates. Second, net operating income is calculated per total operating revenues minus ECOSS expenses. Third, return at present

rates (%) is calculated by dividing net operating income by rate base. The resulting system rate of return at present rates for KEDNY is 2.75%; for KEDLI it is 2.94%. Fourth, the rate of return at present rates for each customer class is unitized by dividing each class's rate of return by the system rate of return. This step produces the Relative Return at Present Rates result. Fifth, the Relative Rate of Return is evaluated versus the tolerance band. For each service classification, if the Relative Return at Present Rates falls outside of the tolerance band, the class is deemed to be over- or under-contributing; if the Relative Return at Present Rates does not exceed the tolerance band values, the class is deemed to be within the tolerance band.

Q. HOW DO THE COMPANIES MITIGATE THE ALLOCATION OF THE INCREASED DISTRIBUTION REVENUES BEING SOUGHT HERE?

A. Manual adjustments are generally required if the Relative Return is not within the tolerance band. Tolerance bands are not static and can and do deviate from utility to utility.

Q. PLEASE DESCRIBE THE MANUAL ADJUSTMENTS.

A. Table 2 below summarizes information from Exhibit ___ (RDP-4CU) Schedule 1 Page 1 of 2 from Corrections and Updates Testimony of the KEDNY and KEDLI Rate Design Panels. The "Increase" column in this table shows class-specific increases ranging from 25% to 37% for KEDNY, and ranges of 22.809% to 38.309% for KEDLI. These values are the manual adjustments used by the Companies to allocate the pro forma delivery revenue change to customer classes. These values are established exogenously; they are not calculated using tolerance band information. For example, the increase (%) assigned to customer classes with unitized returns falling within the 0.60 to 1.40 tolerance band was

set at 31.4572% for KEDNY, lower than at the 31.52% system average distribution revenue change that would normally be indicated for classes falling within the tolerance band.

Table 2: Manual Adjustments per Exhibit___ (RDP-4CU) Schedule 1 Page 1 of 2

RANGE		KEDNY		KEDLI	
Bottom	Top	Increase	Caption	Increase	Caption
	(7.24)/(3.30)	37%	Low	38.309%	Low
(7.24)/	0.60	37%	Under	37.309%	Under
0.60	1.40	31.4572%	Within	31.827%	Within
1.40	2.01	30%	Over	27.809%	Over
2.01	6.00	28.5%	High	25.309%	High
6.00	7.02/26.28	25%	V High	22.809%	V High

Q. WHAT TOLERANCE BAND WAS UTILIZED IN THE ECOSS?

A. The tolerance band originally proposed by the Companies was set at + / - 35%. In the Corrections and Updates Testimony of the KEDNY and KEDLI Rate Design Panels, the Companies increased the proposed tolerance band from + / - 35% to + / - 40%. The rationale for this change was not discussed.

Q. WHAT TOLERANCE BAND WAS EMPLOYED IN THE 2019 ECOSS?

A. In 19-G-0309, KEDNY Rate Design Panel Direct Testimony, lines 15-17 on page 26 of 75, states that the tolerance band was + / - 25%. In 19-G-0310, KEDLI Rate Design Panel Direct Testimony, lines 15-17 on page 26 of 74, discusses the same 25% tolerance band.

Q. WHAT ARE THE IMPLICATIONS OF EMPLOYING THE WIDER +/- 40% TOLERANCE BAND?

A. Table 3 below summarizes information from Exhibit ___ (RDP-4CU) Schedule 1 Page 2 of 2 from Corrections and Updates Testimony of the KEDNY Rate Design Panel. Table 3 shows that the distribution revenue change is $444,943 ($000s) and the Return on Rate Base is 7.09%. The table shows that the Relative Return at Present Rates for SC1-B, the only class within the +/- 40% tolerance band, is 1.38. This class would fall outside of a +/- 35% tolerance band.

Table 3: Proposed Cost Allocation Using 0.60 to 1.40 Tolerance Band per KEDNY Exhibit___ (RDP-4CU) Schedule 1 Page 1 of 2

Class	Relative Return at Present Rates	Caption	Distribution Revenue Change ($000s)	Manual Adjustment (Target % Increase)	Return on Rate Base
Total			**$ 444,943**		**7.09%**
SC-1A Residential NonHeat	-0.52	Under	$ 70,155	37.000%	3.73%
SC-1B Residential Heat	1.38	Within	$ 242,364	31.457%	7.75%
SC-1DG Res. DG	-2.79	Under	$ 2	37.000%	-2.55%
SC-2-1 Non-Res. NonHeat	4.28	High	$ 18,382	28.500%	15.73%
SC-2-2 Non-Res. Heat	1.83	Over	$ 36,803	30.000%	8.80%
SC-3 Multiple Family	-0.13	Under	$ 65,179	37.000%	5.01%
SC-4A High Load Factor	2.95	High	$ 2,887	28.500%	13.69%
SC-4A CNG	3.77	High	$ 439	28.500%	20.23%
SC-4B Year-Round AC	5.39	High	$ 295	28.500%	18.02%
SC22/18-22 Non-Firm	6.02	V High	$ 7,380	25.000%	18.27%
SC-7 Seasonal	-6.24	Under	$ 2	37.000%	11.21%
SC-21 DG Sales	-5.72	Under	$ 1,055	37.000%	-8.50%

Q. WHAT ARE THE RESULTS IF A +/- 35% TOLERANCE BAND, AS ORIGINALLY PROPOSED, WERE UTILIZED?

A. Table 4 below shows results for KEDNY for the scenario where the tolerance band is changed from +/- 40% to +/- 35% and no other changes are made. The results show that,

indeed, SC1-B is now captioned "Over." Additionally, with no change to the manual adjustments, the return on rate base falls to 6.96% and the distribution revenue change falls to $434,010 ($000s). Because rates are designed to fully collect the distribution revenue change, this can only be corrected by increasing one or more manual adjustments.

Table 4: KEDNY Cost Allocation Changing Only the Tolerance Band to +/- 35%

Class	Relative Return at Present Rates	Caption	Distribution Revenue Change ($000s)	Manual Adjustment (Target % Increase)	Return on Rate Base
Total			**$ 434,010**		**6.96%**
SC-1A Residential NonHeat	-0.52	Under	$ 70,155	37.000%	3.73%
SC-1B Residential Heat	1.38	Over	$ 231,137	30.000%	7.52%
SC-1DG Res. DG	-2.79	Under	$ 2	37.000%	-2.55%
SC-2-1 Non-Res. NonHeat	4.28	High	$ 18,382	28.500%	15.73%
SC-2-2 Non-Res. Heat	1.83	Over	$ 36,803	30.000%	8.80%
SC-3 Multiple Family	-0.13	Under	$ 65,179	37.000%	5.01%
SC-4A High Load Factor	2.95	High	$ 2,887	28.500%	13.69%
SC-4A CNG	3.77	High	$ 439	28.500%	20.23%
SC-4B Year-Round AC	5.39	High	$ 295	28.500%	18.02%
SC22/18-22 Non-Firm	6.02	V High	$ 7,675	26.000%	18.54%
SC-7 Seasonal	-6.24	Under	$ 2	37.000%	11.21%
SC-21 DG Sales	-5.72	Under	$ 1,055	37.000%	-8.50%

Q. DO THE RESULTS FOR KEDLI HAVE THE SAME ISSUE?

A. Yes. Table 5 below summarizes information from Exhibit ___ (RDP-4CU) Schedule 1 Page 2 of 2 from Corrections and Updates Testimony of the KEDLI Rate Design Panel. Table 5 shows that the Relative Return at Present Rates for SC1-B, the only class within the tolerance band, is 0.71. This class would fall inside of a +/- 35% tolerance band but outside of a +/- 25% tolerance band.

Table 5: Proposed Cost Allocation Using 0.60 to 1.40 Tolerance Band per KEDLI Exhibit___ (RDP-4CU) Schedule 1 Page 1 of 2

Class	Relative Return at Present Rates	Caption		Distribution Revenue Change ($000s)	Manual Mitigation Adjustment (Target % Increase)	Return on Rate Base
Total			**$**	**269,682**		**7.05%**
SC-1A Residential NonHeat	-0.74	Under	$	13,386	37.309%	2.46%
SC-1B Residential Heat	0.71	Within	$	181,067	31.827%	6.26%
SC-1DG Res. DG	-2.30	Under	$	3	37.309%	-2.71%
SC-2-1 Non-Res. NonHeat	5.85	V High	$	12,084	22.809%	20.30%
SC-2-2 Non-Res. Heat	1.53	Over	$	49,475	27.809%	8.25%
SC-3 Multiple Family	3.34	High	$	154	25.309%	26.08%
SC-4A High Load Factor	0.47	Under	$	7,918	37.309%	6.36%
SC-4A CNG	25.28	V High	$	908	22.809%	76.82%
SC-4B Year-Round AC	3.58	High	$	674	25.309%	15.43%
SC22/18-22 Non-Firm	1.75	Over	$	1,707	27.809%	9.80%
SC-7 Seasonal	3.86	High	$	2,301	25.309%	15.35%
SC-21 DG Sales	2.81	High	$	5	25.309%	12.63%

Q. HOW WOULD THESE RESULTS CHANGE IF A +/- 35% TOLERANCE BAND WERE UTILIZED FOR KEDLI?

A. For a +/- 35% tolerance band, no changes to caption categories or manual adjustments would be required. This result occurs because the Relative Return at Present Rates for each service classification would remain within the relevant bottom and top range bands that define the manual adjustment categories.

Q. WHAT IS THE RESULTING ALLOCATION OF THE DISTRIBUTION REVENUE CHANGE FOR KEDNY?

A. The overall distribution revenue change, expressed as a share of pro forma distribution revenue, is 32.51% (= $444.943 million ÷ $1,368.484 million). The service classifications marked "Under" are the customer classes that under-contribute and therefore receive a greater than 32.51% allocation of the distribution revenue change to support movement

towards the system average rate of return, or the cost of providing service. Service classifications that are classified as "Within," "Over," "High" or "V High" fall above or within the tolerance band and therefore receive a lower than 32.51% allocation of the distribution revenue change.

Q. FOLLOWING APPLICATION OF THE MANUAL ADJUSTMENTS, WHICH SERVICE CLASSIFICATIONS OVER-CONTRIBUTE?

A. As indicated by Table 3, after the application of manual adjustments, several KEDNY service classifications continue to show return on rate base results that are greater than the system average rate of return of 7.09%. SC-2-1, SC-4A-CNG, SC-4B and SC-22/18-22 are more than double the system average. All of the service classifications with a return on rate base exceeding the system average rate of return are subsidizing the remaining classes. Similar trends are experienced for the KEDLI service classifications.

Q. DO YOU SUPPORT THE PROPOSED 1.4 / 0.6 TOLERANCE BANDS?

A. I do not oppose them. As demonstrated above, moving to the +/- 40% tolerance band has no impact on the KEDLI ECOS results. For KEDNY, moving to the +/- 40% tolerance band from the +/- 35% tolerance band required changes in one or more manual adjustments. I note that it is probable that different manual adjustment groupings would likely result if a materially narrower tolerance band were used. Using KEDNY as an example, and depending upon how the manual adjustment bands are defined, SC2-2 could possibly fall into the "High" caption and SC-2-1 and SC-4B could arguably fall in the "V High" caption.

Q. DO YOU SUPPORT THE PROPOSED MANUAL ADJUSTMENTS?

A. The proposed manual adjustments made by the Rate Panels attempt to thread the needle in terms of balancing the need to move classes closer to cost of service with a desire not to overburden under-contributing service classifications. Given these considerations, I do not oppose the proposed manual adjustments.

Q. IF THE COMMISSION WERE TO APPROVE A LOWER DISTRIBUTION REVENUE CHANGE, DO YOU HAVE ANY RECOMMENDATIONS REGARDING HOW THE RESULTING DISTRIBUTION REVENUE CHANGE SHOULD RE-ALLOCATED AMONG SERVICE CLASSIFICATIONS?

A. Yes. Given the degree of over-contribution for certain services classifications as discussed above, if the Commission were to approve a lower increase in the revenue requirements for the Companies, the Commission should consider allocating a material share of the reduction to the classes that are overcontributing in order to reduce existing subsidies more quickly.

Q. DOES THE COMPANY PROPOSE TO PHASE-IN RATE INCREASES?

A. On page 75 of 75 KEDNY Rate Design Panel Direct Testimony, lines 4-6, KEDNY states that, to ease the impact on customer bills, the Company will consider options to phase-in the proposed revenue increases over the term of a multi-year plan, instead of re-aligning rates immediately. Again, given the magnitude of the overall rate increases being requested, I strongly support this approach.

LOAD FORECAST

Q. PLEASE DESCRIBE THE COMPANY'S PROPOSAL TO ALLOCATE USAGE TO BLOCKS BASED ON A THREE-YEAR HISTORICAL AVERAGE.

A. KEDNY Rate Design Panel Direct Testimony, page 14 of 75 lines 2-4, states that deliveries were allocated to the usage blocks within each service class using a three-year average percentage of historical actual billed block usage. To normalize for the impacts of the COVID-19 pandemic, the Company averaged historic billed block usage for calendar years 2019, 2021 and 2022.

Q. HAVE THE COMPANIES PREVIOUSLY EMPLOYED THIS THREE-YEAR AVERAGE METHODOLOGY TO ESTIMATE BILLED BLOCK USAGE?

A. No. The Companies' Rate Design Panel Direct Testimonies indicate the Companies previously used an Ogive analysis to allocate usage to blocks within each service classification.

Q. HOW DOES THIS 3-YEAR AVERAGE COMPARE TO THE ESTIMATED KEDNY USAGE PER CUSTOMER FOR FY2025?

A. Table 6 below shows actual FY2019, FY2021, FY2022 average therms per customer, derived from Exhibit ___ (GLF-12A), Page 1 of 1 (gray highlighted column), and forecast FY2025 therms per customer per KEDNY Gas Load Forecasting Panel Direct Testimony Exhibit ___ (GLF-14ACU), Page 1 of 1. Table 6 shows that, for the majority of service classifications, projected FY2025 therms per customer are greater than the three-year historical average therms per customer.

Table 6: Comparison of KEDNY Actual FY19, FY21, FY22 Three-year Average Therms per Customer versus Projected FY2025 Therms per Customer

Service Classification		FY25	FY19 FY21 FY22 Average	Forecast Minus Historical Avg	Percent Change
SC	1A	81	86	(5)	-5%
SC	1AR	71	72	(1)	-1%
SC	1B	1,096	1,143	(47)	-4%
SC	1BR	1,072	1,088	(16)	-2%
SC	1B-DG	2,309	2,273	36	2%
SC	3	9,612	9,158	454	5%
SC	2-1	5,433	4,932	501	10%
SC	2-2	4,077	3,969	108	3%
SC	4A	109,759	104,238	5,521	5%
SC	4A-CNG	895,395	796,225	99,170	12%
SC	4B	30,042	33,307	(3,265)	-10%
SC	7	4,713	-	4,713	n/a
SC	17-1A	394	267	127	48%
SC	17-1AR	82	76	6	8%
SC	17-1B	1,979	1,406	573	41%
SC	17-1BR	1,650	1,312	338	26%
SC	17-3	37,521	33,781	3,740	11%
SC	17-2-1	13,828	12,727	1,101	9%
SC	17-2-2	8,274	7,115	1,159	16%
SC	17-4A	639,351	666,083	(26,732)	-4%
SC	17-4A-CNG	13,150	33,673	(20,523)	-61%
SC	17-4B	42,145	38,258	3,887	10%
SC	21DGSales	268,588	274,068	(5,480)	-2%
SC	21dg7-21-1	209,020	210,526	(1,506)	-1%
SC	21dg17-21-3	13,755,636	12,020,908	1,734,728	14%
NFDR	T1Sales	52,204	54,080	(1,876)	-3%
NFDR	T2Sales	129,262	116,336	12,926	11%
NFDR	T1Transport	63,150	60,900	2,250	4%
NFDR	T2Transport	250,421	128,069	122,352	96%

Q. WHAT ARE THE IMPLICATIONS OF THIS OUTCOME WITH RESPECT TO USE OF THE THREE-YEAR HISTORICAL AVERAGE METHOD OF ALLOCATING USAGE TO BLOCKS?

A. Use of the three-year historical average appears to systematically under-state per customer usage—over 65% of service classifications are projected to have increased usage per customer. For these service classifications, the share of FY2025 usage allocated to tail blocks is lower than it would be if the allocation were better aligned with forecasted FY2025 usage. Because of this, the proposed tail block rates are higher than if they were calculated with block allocations using FY2025 usage per customer. For service classifications with lower FY2025 forecast usage than historical averages, the opposite trends will occur.

Q. PLEASE PROVIDE AN EXAMPLE.

A. Table 6 indicates that SC 2-1 has three-year average annual usage per customer of 4,932 therms (= 411 therms per month) and forecast FY2025 annual usage per customer of 5,433 therms (= 453 therms per month), or a 10% increase over the historical average. Table 7 below demonstrates that, based on this average usage per customer, the share of therms allocated to the tail block for an average customer is lower under the three-year historical average scenario than it is for FY2025. The table also shows the share of consumption for the remaining blocks is higher under the three-year average than it is for FY2025.

Table 7: Comparison of Block Allocation for SC-2-1

	Three-year Avg		FY2025	
Block	Therms	Share (%)	Therms	Share (%)
Block 1	3	0.7%	3	0.7%
Block 2	87	21.2%	87	19.2%
Block 3	321	78.1%	363	80.1%
Block 4	0	0.0%	0	0.0%
Total	**411**	**100.0%**	**453**	**100.0%**

Q. HOW ARE RATE DESIGN AND BILL IMPACTS AFFECTED?

A. For the majority of customer classes, use of the three-year historical average block allocations is expected to result in higher tail block rates and lower rates for the remaining blocks than if the block usage allocations were closer to the FY2025 values.

Q. DOES KEDLI DATA SHOW THE SAME TRENDS?

A. Yes. Table 8 below shows actual FY2019, FY2021, FY2022 average therms per customer, derived from Exhibit ___ (GLF-12BCU) Page 1 of 1 (gray highlighted column) and forecast FY2025 therms per customer per Exhibit ___ (GLF-14BCU) Page 1 of 1. Table 8 shows that for the majority of service classifications, projected FY2025 therms per customer are greater than the three-year historical average therms per customer.

Table 8: Comparison of KEDLI Actual FY19, FY21, FY22 Three-year Average Therms per Customer versus Projected FY2025 Therms per Customer

Service Classification	FY25	FY19 FY21 FY22 Average	Forecast minus Historical Avg	Percent Change
SC1A	142	150	(8)	-5%
SC1AR	74	100	(26)	-26%
SC1A	353	358	(5)	-1%
SC1AR	246	310	(64)	-21%
SC1B	1,195	1,218	(23)	-2%
SC1BR	945	1,022	(77)	-8%
SC1DG	3,015	2,890	125	4%
SC3B	22,947	21,711	1,236	6%
SC3A	7,795	7,264	531	7%
SC2A	1,388	1,523	(135)	-9%
SC2A	6,247	6,162	85	1%
SC2B	3,868	3,882	(14)	0%
SC15	207,770	186,198	21,572	12%
SC16	132,536	124,135	8,401	7%
SC17	9,304	9,269	35	0%
SC9	294,855	139,791	155,064	111%
SC5-1A	194	160	34	21%
SC5-1AR	53	80	(27)	-34%
SC5-1A	509	388	121	31%
SC5-1AR	348	588	(240)	-41%
SC5-1B	1,938	1,483	455	31%
SC5-1BR	868	990	(122)	-12%
SC5-2A	25,008	21,944	3,064	14%
SC5-2B	13,073	8,710	4,363	50%
SC5-3B	36,582	36,542	40	0%
SC5-3A	16,685	17,436	(751)	-4%
SC5-2A	21,347	17,049	4,298	25%
SC5-15	91,347	119,057	(27,710)	-23%
SC5-16	809,319	690,352	118,967	17%
SC5-17	71,252	56,840	14,412	25%
SC5-9	687,008	641,898	45,110	7%
NFDRTier1Sales	57,070	56,868	202	0%
NFDRTier1Transport	567,781	289,365	278,416	96%
NFDRTier2Sales	82,134	70,483	11,651	17%
NFDRTier2Transport	51,819	45,764	6,055	13%
SC7	20,127,690	19,717,080	410,610	2%
SC14	15,252,522	16,447,060	(1,194,538)	-7%

Q. WHAT IS YOUR RECOMMENDATION?

A. To better estimate usage shares by block, the Companies should consider employing block consumption shares from the historical year that most closely matches FY2025 usage per customer. For example, in the case of the SC 2-1, analysis of historical data contained in Exhibit ___ (GLF-12ACU), Page 1 of 1, indicates that usage per customer most closely matching the FY2025 value occurs in FY2020 (a value of 5,265 therms). The Company could use FY2020 to inform the block consumption share for this class, and so on. To minimize the administrative burden, this revision could be carried out for service classifications with forecast changes in usage greater than a reasonable threshold, for example, +/-10%.

RATE DESIGN AND BILL IMPACTS

Q. DO YOU HAVE ANY RECOMMENDATIONS REGARDING THE COMPANIES' PROPOSED RATE DESIGNS?

A. Yes. I have a recommendation regarding rate design for NFDR customers.

Q. HOW ARE RATES FOR NFDR CUSTOMERS DESIGNED, AFTER ACCOUNTING FOR THE LOW-INCOME CUSTOMER DISCOUNT?

A. KEDNY Workpapers RDP-4CU Schedule 4 indicate that the proposed SC-22/18-22 Tier-1 Commercial/Government and Tier-1 Multi-family rates are designed to achieve a discount of 54.0% on the tail block rate of SC-2-2 and SC-3, respectively (= 1 – 0.335 ÷ 0.7285 and 1 – 0.2786 ÷ 0.6058, respectively). Proposed SC-22/18-22 Tier-2

Commercial/Government and Tier-2 Multi-family rates are designed to achieve a discount of 63.2% on the tail block rate of SC-2-2 and SC-3, respectively (= 1 – 0.2681 ÷ 0.7285 and 1 – 0.2229 ÷ 0.6058, respectively). The proposed rates feature a $375 monthly customer charge that is unchanged from the current customer charge. KEDLI Workpapers RDP-4CU Schedule 4 indicate a monthly charge of $375 and discounts of 55.0% and 64.0%, respectively.

Q. DO YOU HAVE RECOMMENDATIONS FOR THE RATE DESIGN FOR THESE CUSTOMERS?

A. Yes. KEDNY Rate Design Panel, lines 12-13 on page 42 of 75, lists target discounts of 55% and 65% for Tiers 1 and 2, respectively. Increasing the customer charge would enable the discounts to move closer to this target while still enabling the target class revenue to be collected. Additionally, Exhibit_(RDP-4CU), Schedule 4 Pages 20 through 23, show negative bill impacts for customers with usage up to 10 therms. Increasing the customer charge while decreasing the tail block slightly would also help resolve this issue. For KEDLI's Non-Firm Demand Response Tier 1 and Tier 2 customers, KEDLI Exhibit_(RDP-4CU) Schedule 4 Pages 19 and 20 of 20 also show negative bill impacts for customers with usage up to 10 therms, suggesting that increasing the customer charge while decreasing Tier-2 and/or Tier-1 energy charges (such that the target discounts are maintained) would similarly be a reasonable solution.

Q. DO YOU SUPPORT THE TARGET 55% AND 65% DISCOUNT LEVELS FOR NFDR TIER 1 AND TIER 2 RATES?

A. Yes. The Companies' Rate Design Panel Direct Testimony (KEDNY page 42 of 75, lines 12-16 and KEDLI page 43 of 74, lines 11-15) justifies the increased discounts for interruptible customers because Company's ability to interrupt this class is critical to providing firm customers with uninterrupted service, and the discounts are necessary to provide an incentive for NFDR customers to remain as non-firm customers. Moreover, using KEDNY as an example, I note that the SC-22/18-22 rates are designed to collect the allocated revenue requirement and that, regardless of the discount to the SC2-2 and SC-3 tail block rates, the SC-22/18-22 class is proposed to produce a surplus with a proposed return of over 18% versus the overall 7.09% return on rate base.

PROPOSAL TO INCLUDE NFDR GAS SUPPLY COSTS AND THEIR REVENUES IN THE ANNUAL GAC RECONCILIATION

Q. WHY ARE THE COMPANIES PROPOSING A GAS COST RECONCILIATION FOR NFDR CUSTOMERS?

A. Pursuant to the Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (the "2021 Joint Proposal"), Section 3.5.1, the Companies are required to develop and propose a non-firm gas cost reconciliation mechanism to be included in the instant proceeding. Lines 10-12 in KEDNY Rate Design Panel Direct Testimony, page 58 of 75, state that because the Company has a combined (KEDNY and KEDLI) Firm and

Non-Firm gas supply portfolio, it cannot separately reconcile NFDR customer gas supply costs.

Q. HOW IS THE COMMODITY PRICE FOR NFDR CUSTOMERS CURRENTLY ESTABLISHED?

A. The 2021 Joint Proposal, page 261 of 991, states that for NFDR customers, the commodity price, also referred to as the "Weighted Monthly ICOG," is (a) the Incremental Cost of Gas ("ICOG") weighted by the upstream pipeline city gates and volumes used to determine deliveries to non-firm customers (the "Weighted ICOG"), plus (b) the demand charge reduced to ten percent of the allocated pipeline transportation costs, plus (c) the applicable Lost and Unaccounted for Gas ("LAUF") factor. The Weighted Monthly ICOG rate for NFDR sales customers is capped at the Monthly Cost of Gas (excluding adjustments) for the otherwise applicable firm service class. Joint Proposal Appendix 3 Schedule 5.1 Page 1 of 1 indicates that the LAUF factor is applied only to the Weighted ICOG.

Q. HOW ARE NFDR NATURAL GAS REVENUES CURRENTLY RECONCILED?

A. As described in KEDNY Rate Panel Direct Testimony, pages 58 –59 of 75, the Companies do not currently reconcile gas costs for non-firm sales customers. NFDR revenues are excluded from the actual gas expense in the annual GAC reconciliation. The difference between the total adjusted GAC revenue and the total purchased gas expense is the GAC year over/under collection. The over/under collection is divided by firm customer annual sales to derive the annual gas imbalance surcharge or refund.

Q. WHAT IS THE SPA RECONCILIATION?

A. The System Performance Adjustment (SPA) reconciles actual system LAUF to the LAUF targets established in a rate case proceeding. The LAUF targets are based on 5-year historical averages.

Q. ARE NFDR CUSTOMERS CURRENTLY ASSESSED THE SPA RECONCILIATION?

A. No, the Company does not currently recover or refund the SPA surcharge/refund from NFDR sales or transportation customers.

Q. HOW ARE FIRM SERVICE CUSTOMERS CURRENTLY ASSESSED LAUF COSTS?

A. For firm service customers, the LAUF factor is applied to (A) the Weighted Average Cost of Gas plus (B) the Average Fixed Cost of Gas net of any Average Fixed Cost Credits.

Q. IS THE SHARE OF LAUF COSTS ASSESSED ON FIRM CUSTOMERS THE SAME AS THE SHARE OF LAUF COSTS ASSESSED ON NFDR CUSTOMERS?

A. No. The share of LAUF costs assessed on firm customer commodity and capacity-related amounts (components (A) and (B) above) is greater than the share of LAUF costs assessed on corresponding amounts for NFDR customers.

Q. PLEASE EXPLAIN WHY THIS IS TRUE WITH RESPECT TO COMMODITY AMOUNTS.

A. For NFDR customers, the Weighted Monthly ICOG is capped at (is less than or equal to) the firm customer Weighted Average Cost of Gas (item (A) above). Therefore, for the

same consumption, LAUF charges assessed on NFDR customer commodity amounts must be less than LAUF charges assessed on firm customer commodity amounts.

Q. PLEASE EXPLAIN WHY THIS IS TRUE WITH RESPECT TO CAPACITY-RELATED AMOUNTS.

A. Firm customers are assessed the Average Fixed Cost of Gas net of any Average Fixed Cost Credits (item (B) above). The demand charge for non-firm customers is reduced to ten percent of the allocated pipeline transportation costs included in the Annual Fixed Cost of Gas calculation. Therefore, for the same consumption, LAUF charges assessed on NFDR capacity-related amounts must be less than LAUF charges assessed on firm customer capacity-related amounts.

Q. PLEASE DESCRIBE THE COMPANIES' NON-FIRM GAS COST RECONCILIATION PROPOSAL.

A. Under the Companies' proposal, the net dollar impact of the annual GAC imbalance plus the SPA mechanism would be shared among NFDR and firm customers through a single volumetric rate. Because the LAUF factor impacts GAC rates, the Company does not believe it is appropriate to assess the GAC to NFDR customers without assessing the SPA. Because the SPA is proposed to be assessed on NFDR customers, no change is proposed to current LAUF treatment.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL?

A. No. I conclude that the Companies' proposal will shift costs to NFDR customers. I come to this conclusion because, as discussed above, the energy- and capacity-related gas costs on which the LAUF factor is assessed are greater for firm customers than for NFDR

customers. In other words, applying the same volumetric rates will shift costs from firm customers to NFDR customers.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL?

A. The Companies' non-firm gas cost reconciliation proposal is unfair and would result in an over-allocation of LAUF costs to NFDR customers. The Joint Proposal requires that the Companies propose a non-firm gas cost reconciliation mechanism, however, it does not require that the same volumetric rate be implemented for both NFDR and firm service customers.

Q. WHAT DO YOU RECOMMEND?

A. I recommend that a single volumetric rate is not implemented and that separate GAC and SPA reconciliations are developed for NFDR customers. This proposal will help minimize cost shifting among firm and NFDR customers.

RATE ADJUSTMENT MECHANISM (RAM) PROPOSAL

Q. PLEASE DESCRIBE THE COMPANIES' RAM PROPOSAL.

A. Each Company proposes to implement a RAM surcharge for the recovery/refund of certain deferral balances from/to customers during the rate plan. Specifically, the Companies propose to collect the following balances via the RAM: the Uncollectible Expense reconciliation; the Property Tax reconciliation; the EAP reconciliation; the Late Payment Charge Revenue reconciliation; the No Fee Credit/Debit Card reconciliation; the Long-Term Debt reconciliation; January 2023 – March 2024 "linking period" amounts for any existing deferrals; and fiscal year ending March 2024 incremental Energy Efficiency

program costs. Each Company also envisions that the RAM would be used to recover additional deferrals that may be authorized by the Commission in the future.

Q. WHICH OF THE ABOVE DEFERRAL MECHANISMS CURRENTLY EXIST?

A. The Property Tax and EAP reconciliation mechanisms currently exist. The Companies propose implementing new reconciliation mechanisms for uncollectible expenses, late payment charges, residential CC/DC fees, long-term debt and fiscal year ending March 2024 incremental Energy Efficiency program costs. For the reasons set forth below, I am opposed to creating the new reconciliation mechanisms and, therefore, find the RAM unnecessary. Instead, the Property Tax and EAP mechanisms should remain separate.

Q. PLEASE EXPLAIN THE COMPANIES' UNCOLLECTIBLE EXPENSE RECONCILIATION MECHANISM PROPOSAL.

A. Each Company proposes to implement a two-way reconciliation mechanism that would reconcile the uncollectible expense recovered in base rates against actual write-offs. The reconciliation would include the commodity portion of uncollectible expense. This would be deferred for future recovery or refund to customers via the proposed RAM.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO RECONCILE UNCOLLECTIBLE EXPENSES AMOUNTS?

A. No. The Companies have not demonstrated that the uncollectibles expense proposed to be collected in rates is expected to be materially different from future uncollectibles.

Q. PLEASE EXPLAIN THE COMPANIES' PROPOSAL TO RECONCILE AND COLLECT LATE PAYMENT CHARGE DEFERRAL BALANCES.

A. In Rate Design Panel testimony, the Companies allege that because of the uncertainty in the Historic Test Year ratio used to develop the late payment charge revenue forecast and the effects of the Phase 1 and Phase 2 Electric and Gas Bill Relief Program on late payment charges, there is a need to reconcile the Late Payment Charge revenue included in base delivery rates versus actual revenue billed to customers. This would be deferred for future recovery or refund to customers via the proposed RAM.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO COLLECT LATE PAYMENT CHARGE DEFERRAL BALANCES?

A. No. The Companies have not provided sufficient evidence demonstrating why this treatment is necessary. Reconciliation mechanisms should be the exception, not the rule. The Companies have not attempted to provide any evidence that demonstrates why they cannot use available data to provide a reasonable forecast of Late Payment Charge revenues.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO ASSESS NO VENDOR FEES ON THE USE OF CREDIT CARDS OR DEBIT CARDS FOR RESIDENTIAL CUSTOMER BILL PAYMENTS?

A. Yes. I believe this could help improve revenue collection.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO RECONCILE THE NO FEE CREDIT/DEBIT CARD (CC/DC) EXPENSES AND COLLECT BALANCES VIA THE RAM?

A. No. Because this offering would be new for residential customers, I support evaluating the need for any reconciliation in a future rate case proceeding.

Q. PLEASE DESCRIBE THE COMPANIES' PROPOSAL FOR THE RECOVERY/REFUND OF LONG-TERM DEBT DEFERRAL BALANCES.

A. Each Company is proposing to establish a long-term debt true-up mechanism that would reconcile the difference between the forecast costs of long-term debt embedded in authorized rates and each Company's actual debt costs during each of the Rate Years and Data Years.

Q. WHAT IS THE RATIONALE GIVEN FOR THIS PROPOSAL?

A. The Companies assert in the Capital Structure Panel Direct Testimony that historical volatility increases the likelihood that the actual cost of debt rates for future debt issuances will be either lower or higher than those assumed.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO TRUE-UP LONG-TERM DEBT INTEREST RATES?

A. No. The Companies have not provided evidence that recent historical long-term debt interest rate volatility is expected to impact the future cost of new long-term debt in the Rate Year and Data Years. Thus, the proposal to create a new long-term debt reconciliation mechanism should be rejected.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO COLLECT INCREMENTAL NE:NY EE PROGRAM COSTS VIA THE RAM?

A. No. As discussed below, in Customer Panel Direct Testimony, the Companies state they believe that energy efficiency costs are best recovered in base rates rather than being recovered in part through a surcharge. I support recovery of energy efficiency costs in base delivery rates and therefore do not support creation of a surcharge to collect incremental energy efficiency costs.

Q. DO YOU SUPPORT RECOVERY OF ADDITIONAL DEFERRALS THAT MAY BE AUTHORIZED BY THE COMMISSION IN THE FUTURE VIA THE RAM?

A. No. I support evaluating any future recovery of additional deferral balances on a case-by-case basis.

Q. WITH RESPECT TO THE PROPOSED NEW RECONCILIATION MECHANISMS DISCUSSED ABOVE, ARE THERE ANY OTHER ISSUES THAT CONCERN YOU?

A. Yes. Any new reconciliation mechanisms that are approved would mitigate the risks borne by the Companies. If the proposed new mechanisms are approved, which I do not support, then each Company's equity return and equity share of capital structure should be evaluated in this context to appropriately reflect the reduced risks expected to be borne by equity shareholders.

Q. PLEASE EXPLAIN THE COMPANIES' PROPERTY TAX EXPENSE RECONCILIATION PROPOSAL.

A. The Companies propose to replace the current property tax reconciliation mechanism with a two-way fully symmetrical reconciliation mechanism.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO REVISE THE PROPERTY TAX RECONCILIATION AND COLLECT BALANCES AND ANY "LINKING PERIOD" AMOUNTS VIA THE RAM?

A. No. The current rate plans provide for variances from the rate allowance for each Company's property taxes to be shared 10 percent Company/90 percent customers with a cap on the Company's share equal to 7.5 basis points for Rate Year 1 (FY2021), 5.0 basis points for Rate Year 2 (FY2022), and 2.5 basis points for Rate Year 3 (FY2023). I support retaining the current mechanism; the Companies have not provided an adequate basis for changing it.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO COLLECT EAP OVER- OR UNDER-RECOVERIES AND ANY "LINKING PERIOD" AMOUNTS VIA THE RAM?

A. No, I support continuation of the current treatment which establishes a deferred charge or credit for future recovery from all customers.

Q. IF THE RAM IS IMPLEMENTED, DO YOU SUPPORT THE COMPANY'S PROPOSED 2.5% THRESHOLD CAP ON RAM BALANCES?

A. If the RAM is implemented, which I do not believe is necessary, I would support a cap. However, I do not support a value of 2.5% assessed on a basis of prior year aggregate

revenues. The dollar value of any cap would need to be commensurate with balances permitted to be collected via the RAM and these values are not currently known. Furthermore, I do not support the inclusion of commodity-related revenues in the threshold basis.

Q. RESPONSE TO DPS-433 INDICATES THAT IF THE RAM IS IMPLEMENTED, THE COMPANY PROPOSES TO ALLOCATE LONG-TERM DEBT, PROPERTY TAX, EAP, AND NO FEE CC/DC BALANCES USING THE "TOT REV" (TOTAL REVENUE) ALLOCATOR. DO YOU SUPPORT THIS PROPOSAL?

A. Initially, as noted above, I do not support the creation of the RAM. If the RAM is created, I would support using the "Tot Rev" allocator for EAP, No Fee CC/DC, and EAP balances. However, I do not support using the 'Tot Rev' allocator for Long-term Debt and Property Tax because these costs are driven by capital investments.

PROPOSAL TO ELIMINATE THE DEMAND CAPACITY SURCHARGE MECHANISM (DCSM)

Q. WHAT COSTS ARE CURRENTLY COLLECTED VIA THE DCSM SURCHARGE?

A. The DCSM surcharge collects four types of costs: (1) 50% of the estimated cost of non-labor demand response program costs consisting primarily of capacity and performance incentive payments; (2) as indicated by lines 5-6 on page 124 of 148 of Customer Panel Direct Testimony, "a very small amount" of marketing and administrative costs for the Load Shedding and BYOT program; (3) incremental NE:NY Energy Efficiency program

costs; and (4) the revenue requirement, excluded from delivery rates, that is associated with Long-Term Capital Capacity Projects subject to the Capacity Demand Metrics.

Q. WHY ARE THE COMPANIES PROPOSING TO ELIMINATE THE DCSM?

A. Customer Panel Direct Testimony, page 133 of 148 lines 18-20, indicates that the 2019 Joint Proposal provided that there was to be no "presumption that the DCSM will continue in subsequent rate proceedings." Therefore, the Panel proposes to end it.

Q. HOW DO THE COMPANIES PROPOSE TO RECOVER NON-LABOR RELATED DEMAND RESPONSE PROGRAM CAPACITY AND PERFORMANCE PAYMENTS COSTS?

A. The Companies propose to recover these costs via the DROM component of the Delivery Rate Adjustment.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. Yes. If approved by the Commission, I also support collecting the true-up portion of fiscal year 2024 non-labor demand response costs via the DROM. I support this proposal because it has a lower administrative burden and because the non-labor demand response costs can be collected via the DROM surcharge more timely after they are incurred.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO RECOVER INCREMENTAL NE:NY ENERGY EFFICIENCY PROGRAM COSTS VIA THE PROPOSED RAM SURCHARGE?

A. No. In Customer Panel Direct Testimony, page 135 of 148 lines 2-8, the Companies state they believe that energy efficiency costs are best recovered in base rates rather than being recovered in part through a surcharge. Despite this, the Panel requests that, if base rates are

established in this proceeding before any incremental costs are authorized in the Interim Review, a surcharge be established to permit recovery of incremental energy efficiency costs. As a preliminary matter, I do not support creation of the RAM surcharge because, as discussed above, I do not believe it is necessary. Furthermore, as the Companies assert, energy efficiency amounts are ongoing costs and should be addressed in base delivery rates.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO RECOVER MARKETING AND ADMINISTRATIVE COSTS FOR THE LOAD SHEDDING AND BYOT PROGRAM VIA THE DROM?

A. No. These costs are incurred by the Companies on an ongoing basis and should be addressed in base delivery rates rather than via a surcharge.

Q. DO YOU SUPPORT THE COMPANIES' PROPOSAL TO COLLECT THE APPROVED REVENUE REQUIREMENT FOR LONG-TERM CAPITAL CAPACITY PROJECTS VIA BASE DELIVERY RATES?

A. Currently, to recover costs for a proposed project, the Companies must first demonstrate compliance with Capacity Demand Metrics and then an independent consultant must certify the project meets the standard for need described in the Joint Proposal. I believe that these criteria are reasonable and I support collection of long-term capital capacity project costs in base delivery rates after thorough review by the Commission provided that (1) such costs are not collected prior to the project becoming operational, (2) the project has achieved any criteria established by the Commission prior to inclusion in base delivery

rates, such as the aforementioned capacity demand metrics, and (3) the project supports Climate Leadership and Community Projection Act ("CLCPA") objectives.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL TO ELIMINATE THE DCSM?

A. Yes, provided that the DCSM cost components are collected per my recommendations above.

NEW EAMS PROPOSALS

Q. HOW ARE THE COMPANIES PROPOSING TO CHANGE THEIR EARNINGS ADJUSTMENT MECHANISM (EAM) OFFERINGS?

A. The Companies propose to continue their two existing energy efficiency EAMs: the Gas Share-the-Savings ("STS EAM") for non-low-income customers and the Gas Low-and-Moderate Income ("LMI EAM") for LMI customers. The Companies propose to implement two new EAMS: one supporting LMI Energy Assistance Program enrollment ("EAP EAM") and the second supporting achievement of Gas Demand Response ("DR EAM"). The Companies proposes to recover any earned EAM incentives through its existing EAM surcharge mechanism.

Q. PLEASE DESCRIBE THE EXISTING "LMI EAM."

A. In alignment with CLCPA goals, the LMI EAM incentivizes the Companies to exceed the energy efficiency targets for LMI customers established per the NE:NY order and also directs energy efficiency savings towards Disadvantaged Communities.

Q. PLEASE SUMMARIZE THE EXISTING "STS EAM."

A. Under the STS EAM applicable to non-LMI customers, the Companies can receive incentives for reducing total gas portfolio expenditures and/or by achieving energy savings above the approved baseline level of lifetime energy savings. The realized difference in the expected and actual unit cost per dekatherm is shared between customers and the Company on a 70%-30% basis.

Q. PLEASE SUMMARIZE THE PROPOSED "EAP EAM."

A. Under the EAP EAM, the Companies would receive an incentive for EAP enrollment above a customer participant baseline established per the most recent historical EAP program year (December 1 through November 30).

Q. DO YOU SUPPORT IMPLEMENTATION OF THE EAP EAM?

A. No. A utility's financial health can be impacted by the reduced throughput associated with energy efficiency, such as the LMI EAM. However, the Companies' financial health is not impacted by customer participation in EAP. Moreover, the Companies have a duty to ensure that LMI customers are identified and encouraged to participate in the program. For this reason, I do not believe that the EAP EAM is necessary to incentivize EAP enrollment efforts.

Q. PLEASE DESCRIBE THE PROPOSED "DR EAM."

A. Under this proposed EAM, the Companies would receive an incentive for achieving savings via the Companies' firm gas demand response portfolio that currently comprises the Load Shedding, Load Shifting, and BYOT programs. Savings would be measured based

on actual performance during events versus a baseline proposed to be determined using a logarithmic regression of actual performance data from the preceding three winter seasons.

Q. DO YOU SUPPORT CREATION OF THE DR EAM?

A. No. Given existing system capacity constraints, it is the Companies' responsibility to operate its system in a manner that will achieve optimal savings from its firm gas demand response programs. The Commission, and customers, should not have to provide an incentive for responsible management of the gas system. Should the DR EAM be implemented, any targets for providing rewards should be stretch targets that are far beyond prior historical savings achieved. In addition, I would recommend that any new staff engaged to support these efforts be funded from program savings.

CALCULATION OF THE UNCOLLECTIBLES WRITE-OFF RATES

Q. WHAT WRITE-OFF RATE DOES EACH COMPANY PROPOSE?

A. The Companies propose to update their net write-off rates using an aggregated average uncollectible rate over three-year period for calendar years 2017-2019. This approach results in an average uncollectible rate of 0.8388% for KEDNY and 0.6076% for KEDLI.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. The Companies have not explained why it is necessary to average three years of data in order to establish the uncollectible rate. I support using the uncollectible rate for 2019 alone, for two reasons. First, this is the most recent pre-COVID year. Second, use of the three-year average unnecessarily inflates the uncollectible rate. The Companies' Exhibit__(RDP-6CU) Schedule 3 Page 3 of 10 indicates that the 2019 rate is 0.8077% and

the corresponding rate for KEDLI is 0.5852%. Use of these values would result in appropriate uncollectibles components in base rates versus the proposed figures of 0.8388% for KEDNY and 0.6076% for KEDLI .

UNCOLLECTIBLES INCENTIVE

Q. PLEASE DESCRIBE THE COMPANY'S PROPOSAL TO REINSTATE THE UNCOLLECTIBLES INCENTIVE.

A. The Companies' Customer Panel Direct Testimony lines 3-11 on page 75 of 148 states that while the Companies are concerned with efforts to further reduce the level of terminations, due to the uncertainty of resuming collection activities after being paused during COVID, they propose to resume uncollectibles performance incentive measures beginning with Data Year 2.

Q. WHAT UNCOLLECTIBLES TARGETS ARE PROPOSED FOR THE RATE YEAR AND DATA YEARS?

A. Lines 3-4 on page 78 of 148 in Companies' Customer Panel Direct Testimony states that the Companies' targets for the performance measure are those established in the 2016 KEDNY and KEDLI Rate Cases.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL TO REINSTATE THE UNCOLLECTIBLES INCENTIVE IN RATE YEAR 2?

A. No. I support examining whether this incentive should be re-instated during the next rate case. The appropriate incentive level should be examined at that time. In addition to providing more time for resolving the uncertainty of post-COVID activities, this approach

will also allow uncollectibles balances to reflect improvements due to the impact of any no-fee credit card or debit card bill payments.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.